EXECUTIVE SUMMARY

1. Introduction

The Local Government Unit of Santa Ana was created by virtue of executive Order No. 289 signed by President Elpidio Quirino on October 21, 1949 which took effect on January 1, 1950.

The audit covered the accounts and operations of the Municipality of Sta. Ana for the year 2018 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the International Public Sector Accounting Standards (IPSAS), whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, compliance audit and performance audit were conducted to achieve these audit objectives.

2. Highlights of Financial Information

The highlights of the financial condition, results of operation, appropriations, allotments and obligations of the Municipality of Sta. Ana for the year ended December 31, 2018, with comparative figures for CY 2017, are as follows:

Particulars	2018	2017	Increase (Decrease)	
			Amount	Percentage
Financial Condition				
Assets	424,631,443.28	352,259,454.25	72,371,989.03	21
Liabilities	116,841,668.84	105,332,563.12	11,509,105.72	11
Gov't Equity	307,789,774.44	246,926,891.13	60,862,883.31	25
Results of Operation				
Total Income	179,433,241.45	162,299,070.87	17,134,170.58	11
Total Expenses	140,407,498.85	122,946,321.64	17,461,177.21	14
Appropriations, Allotments and Obligations				
Appropriations	190,102,850.43	200,396,555.34	(10,293,704.91)	(5)
Allotments	190,102,850.43	200,396,555.34	(10,293,704.91)	(5)
Obligations	145,136,742.87	137,672,211.74	7,464,531.13	5

Comparative Statement of Funds Transfer to and from NGA's, NGO's and PO's.

	2018	2017	Increase (Decrease)
Funds Received from Other Agencies			
Due to NGAs	P 4,302,589.64	P 18,559,895.88	P(14,257,306.24)
Due to GOCCs	324,429.95	7,529.83	316,900.12
Due to LGUs	-	2,564,165.88	(2,564,165.88)
TOTAL	**P 4,627,019.59**	**P 21,131,591.59**	**P(16,504,572.00)**
Funds Transferred to Other Agencies:			
Due from GOCCs	P 68,520.00	P 68,520.00	-
Due from LGUs	-	16,000.00	(16,000.00)
TOTAL	**P 68,520.00**	**P 84,520.00**	**P 16,000.00**

3. Independent Auditor's Report on the Financial Statements

We rendered a Qualified opinion on the fairness of the financial statements due to the non-compliance of the Municipality with the transitory provision on the phased recognition of the Local Road Networks in the books of accounts which requires 75% compliance at the end of calendar year 2018 pursuant to Item IX of COA Circular No. 2015-008 dated November 23, 2015, thus affecting the reliability and accuracy of Local Road and Road Network System account amounting to P48,501,219.95. The audit team was not able to apply other alternative audit procedures in determining the correct amount of the said accounts.

4. Summary of Significant Audit Observations and Recommendations

1. The municipality was not able to comply with the transitory provision on the phased recognition of the Local Road Networks in the books of accounts which requires 75% compliance at the end of calendar year 2018 as required under Item IX of COA Circular No.2015-008 dated November 23, 2015 due to incomplete Inventory Report, thus affecting the fair presentation of the "Road Network" account amounting to P48,501,219.95 as at December 31, 2018.

   Likewise, the related depreciation expense and accumulated depreciation were not provided for the said account contrary to certain provisions of International Public Sector Accounting Standard 17 (IPSAS 17).

   We recommended that management strictly comply with the provisions embodied in the COA Circular No. 2015-008 dated November 25, 2015 by ensuring the following:

   a. General Service Officer maintains and updates a Local Road Inventory and Road Map and keep a complete Local Road Network Property Card for all road and its component

b. Municipal Engineer provides the Municipal Accountant and the General Services Officer with the complete description and cost segregation of road components of road projects

c. Municipal Accountant ensures compliance with the transitory provisions of the Circular by updating the records of the Road Network account and keeps and maintains subsidiary records for roads and road components for every road network.

   Moreover, the Municipal Accountant must compute the depreciation expense, prepare the lapsing schedule and draw necessary journal entry to take up depreciation expense for the current year, update the related accumulated depreciation and record adjustment in government equity account for unrecorded prior years' depreciation expense to present fairly the financial statements in accordance with IPSAS 17.

2. Properties fully or partly held for rent amounting to P21,438,259.58 were recorded in the books of accounts as Property, Plant and Equipment instead of Investment Property contrary to the provisions of International Public Sector Accounting Standards (IPSAS) 16, (Investment Property) resulting in understatement of the Investment Property account and overstatement of Property, Plant and Equipment account.

   We recommended that management instruct the Municipal Accountant to reclassify the properties held for rent recorded under the Market account to Investment Property-Building account to conform with IPSAS 16-Investment Property for fair presentation of the financial statements.

3. Due to National Government Agencies (NGAs) amounting to P3,043,475.97 for different projects and programs implemented by the municipality were not returned to the source agencies or remained unutilized contrary to Section 4 of COA Circular No. 94-013 dated December 13, 1994 and Section 3.1.2 of COA Circular No. 2012-01 dated June 14, 2012. Likewise, the recorded balance of several fund transfers showed a total negative amount of P629,490.32 due to non-maintenance of subsidiary ledgers for the Due to NGAs account contrary to Section 111 of Presidential Decree 1445.

   We recommended that Management return immediately to the source NGAs the idle funds aggregating P3,043,475.97 pursuant to Section 4 of COA Circular No. 94-013 dated December 13, 1994 and Section 3.1.2 of COA Circular No. 2012-01 dated June 14, 2012 on the submission, and liquidation of fund transfer received from National Government Agencies (NGAs) to make these funds available for appropriation to other priority programs, projects and activities of the government.

Further, we recommended that the Municipal Accountant review the transactions recorded in the said account in order to determine the cause of abnormal balance and initiate corrections or adjustments to come up with the normal balance of the said account.

E. Summary of Total Suspensions, Disallowances, and Charges

There are no issuances or settlement of Suspensions and Disallowances as at December 31, 2018.

F. Status of Implementation of Prior Year's Audit Recommendations

Out of seventeen (17) audit recommendations embodied in the prior years' report, nine (9) were fully implemented and eight (8) were not implemented as of December 31, 2018.